

stance, one needs an MBA in finance or a postgraduate (PG) degree along with five years of relevant experience prior to becoming an RIA. These tough qualification regulations have deterred many from pursuing this path.

“We were struggling to find qualified people for the industry. A PG degree in finance was needed to run the business. These regulations made it harder to start, continue, and grow an RIA business,” says Navlakhi. He, however, is more optimistic now, as the Sebi, in its consultation paper, has proposed relaxing the prerequisites, and once notified, even a graduate will be able to apply for a licence.

Another big entry barrier was the stipulation of five years of experience in providing financial advice prior to obtaining a licence. Even Hegde, who is also the founder & CEO of financial platform 1% Club, faced this hurdle while expanding his business, grappling with the dilemma of whether to go for an RIA licence for himself to offer financial advice or to hire people with the licence and create content. But things appear to be improving for him and many other finfluencers; they will no longer be required to have five years of prior experience to operate as RIAs, as Sebi has proposed eliminating this rule as well.

Another pain point is the scope of expansion. RIAs are required to transition to corporate status upon exceeding 150 clients, necessitating an increase in their net worth from ₹5 lakh to ₹50 lakh. Under the proposed rules, Sebi has raised the threshold for corporate status to 300 clients. And, there shall be no net worth requirement for individual advisors, reducing the financial burden. Moreover, for non-individual RIAs, the required deposit amount will be based on the number of clients: a net worth



“The RIA model is suitable for HNI/UHNI investors. For retail investors, the MFD model is more suitable”

Himanshu Kohli
CO-FOUNDER, CLIENT ASSOCIATES



“In the MF space, there are many people who act like advisors. With things made easier for them to move, they will be more than happy to move over as advisors”

Lovaii Navlakhi
CHAIRPERSON, ARIA

of ₹1 lakh is necessary for up to 150 clients, ₹2 lakh for 150-300 clients, ₹5 lakh for 300-1,000 clients, and ₹10 lakh for 1,000 clients and above.

Although there is the expectation that relaxation in RIA guidelines will attract more advisors, critics caution that easing these conditions could potentially lower the quality of financial advice. Also, the recent surge of finfluencers, along with the strong network of mutual fund distributors (MFDs) may also impede the progress of RIAs.

BUT, WHY ARE MFDs NOT BECOMING RIAs?

In India, MFDs sell regular plans and earn a commission of 30-100 basis points (bps) from asset management companies. In contrast, RIAs offer direct plans to their customers and charge them a fee directly for their services. Direct plans, according to Sebi regulations, are intended for customers who prefer DIY (do-it-yourself). So, DIY investors can save on RIA fees and MFD commission.

“The main difference between RIAs and MFDs is that the former advises on various Sebi-registered investment products, MFDs provide basic (incidental) advice on MFs that may suit an investor’s needs, but their main focus is on selling products,” says Manish Kothari of Z Funds, a MF distribution platform.

This distinction between MFDs and RIAs became prominent when Sebi first introduced RIA guidelines in 2013. These regulations initiated fiduciary services in investment advisory in India but had a limited impact initially. Therefore, on July 3, 2020, Sebi provided clearer guidelines for the advisory business, requiring intermediaries to choose their future direction.